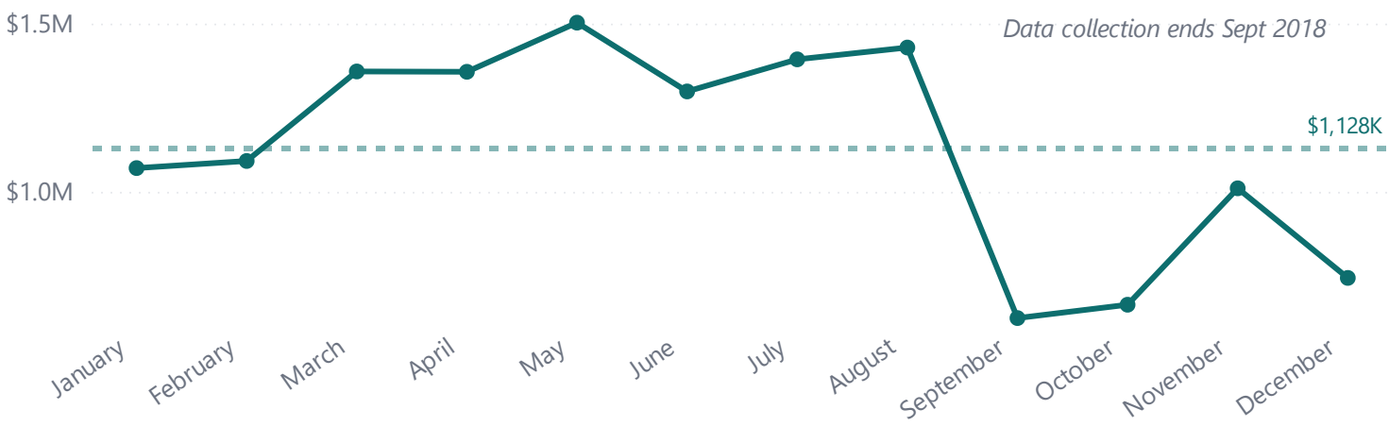
Executive Overview

Overview | Logistics | Retention | Summary

12/26/2016 — 9/30/2018

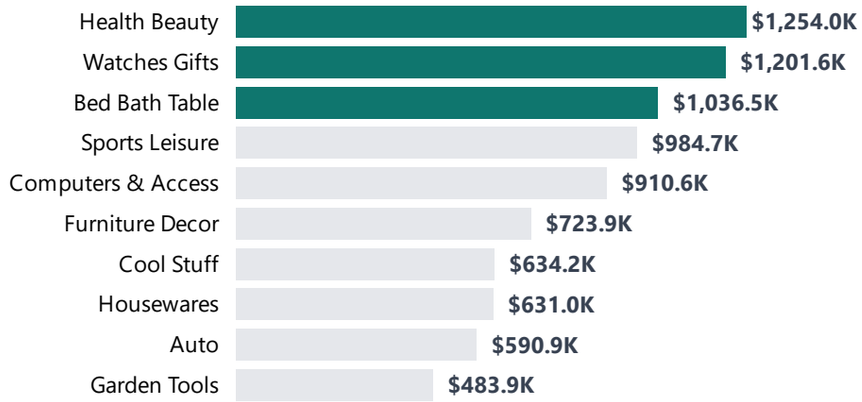
Total Revenue	Total Orders	Average Order Value (AOV)	Average Review Score	On-Time Delivery %
$13.5M	99,108	$136.64	4.02	92.1%
Peak: Nov '17 ($987K)				Target: < 5% Late

Monthly Revenue Trend (Dec 2016 - Sep 2018)



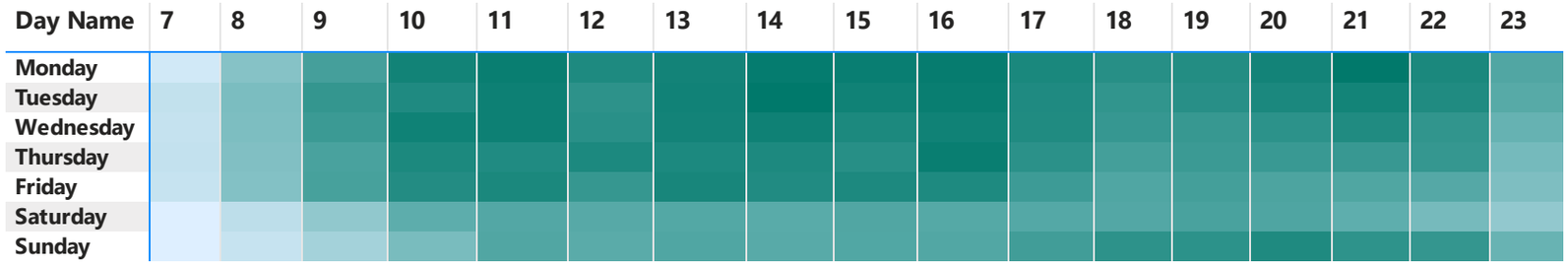
Revenue by Top 10 Categories

Top 3 volume drivers highlighted



Order Volume Heatmap by Day & Hour

Darker cells indicate higher order volume



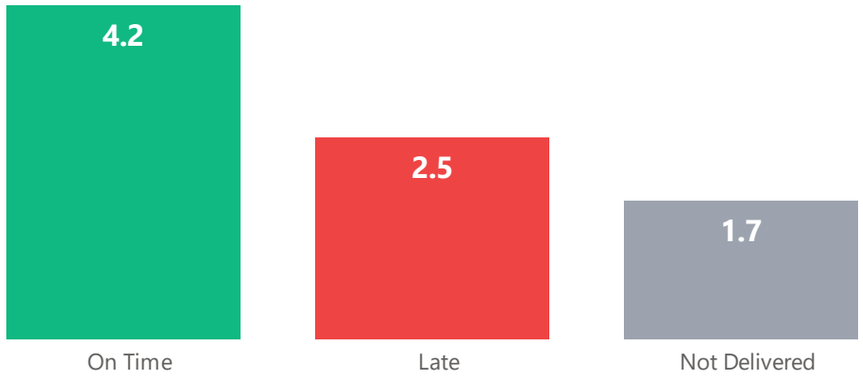
Logistics Deep-Dive

Overview | **Logistics** | Retention | Summary

12/26/2016 — 9/30/2018

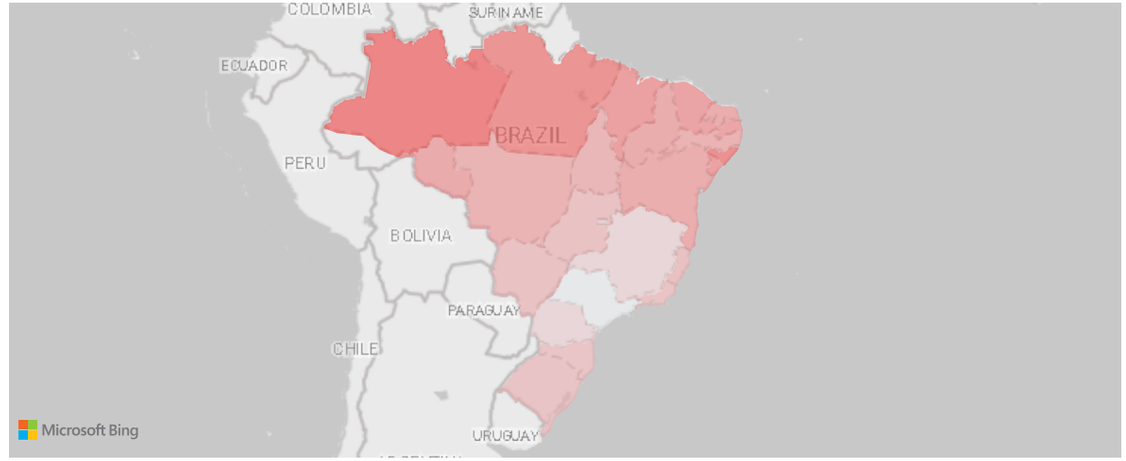
Average Review Score by Delivery Status

Late deliveries cut customer satisfaction by nearly 50%



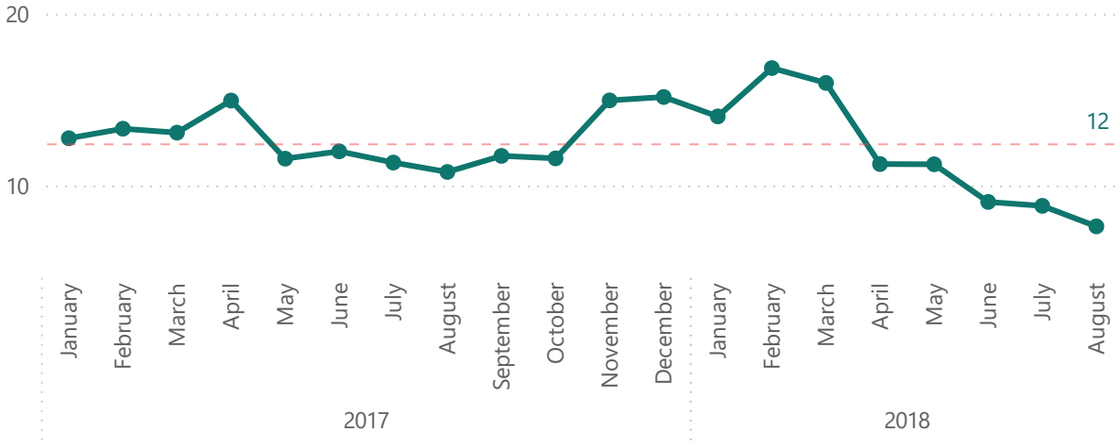
Average Delivery Delay by State

Remote northern regions average over 20 days per delivery.



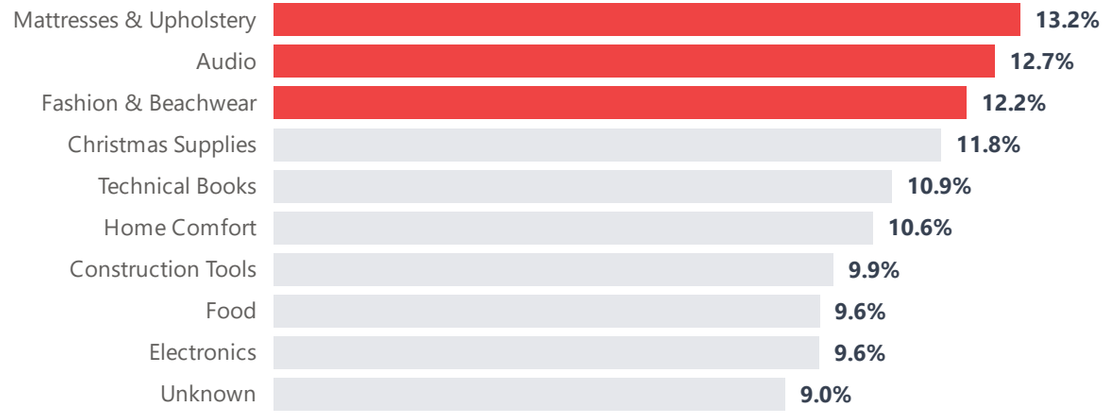
Average Delivery Time Trend (MoM)

Delivery times spiked severely in early 2018



Late Delivery Rate by Product Category

Office & heavy goods represent the highest logistical risk



Customer Behavior & Retention

Overview | Logistics | **Retention** | Summary

12/26/2016 — 9/30/2018

The Retention Crisis

96.9%

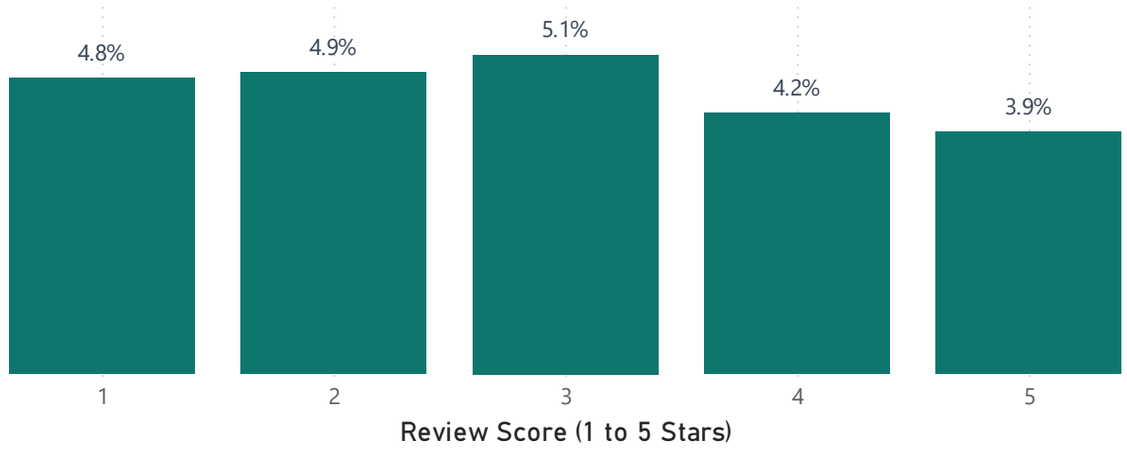
Never return for a second purchase

3.13%

Repeat Customers

Does Satisfaction Drive Loyalty?

Even perfect 5-star experiences result in a 96% churn rate

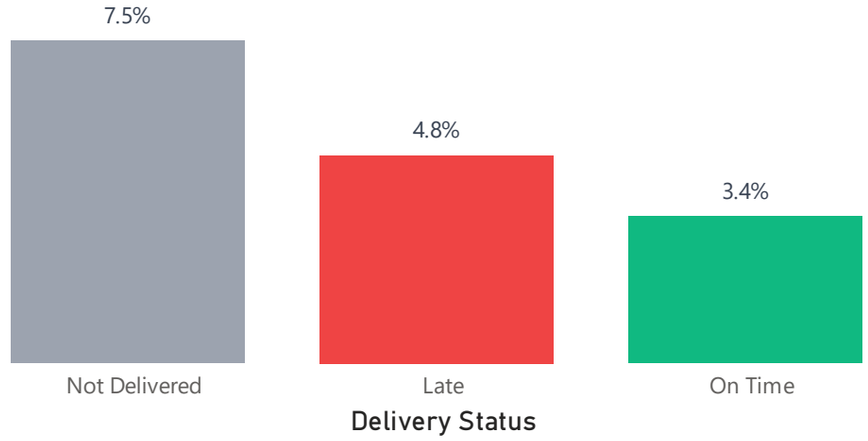


Average Lifetime Value (LTV) by Segment

Loyal customers spend almost twice as much over their lifecycle

Does Delivery Speed Impact Return Rate?

Delayed categories show higher returns due to repeat buyer frequency bias



OLIST PERFORMANCE BRIEF: LOGISTICS & RETENTION CRISIS

TOTAL LIFETIME REVENUE	AVERAGE DELIVERY TIME	CUSTOMER CHURN RATE	AVERAGE CUSTOMER LTV
$13.6M	12.4 days	96.9%	$142

01. THE LOGISTICS BOTTLENECK

The data shows a serious problem in the northern delivery network. In remote states like Rondônia and Amazonas, the average delivery time has gone beyond 26 days, which is far higher than expected.

Large and heavy products, especially items such as office furniture, are taking the longest to arrive. This creates two major issues. First, shipping these bulky items to distant regions is very expensive, so the company is taking on high logistics costs. Second, customers in these areas are waiting too long for their orders, which leads to a poor overall experience.

02. THE LOYALTY CRISIS

Olist currently operates as a purely transactional marketplace with zero brand loyalty.

The data proves that high customer satisfaction does not drive retention. Even among users who leave perfect 5-star reviews or receive their packages on time, over 96% never return for a second purchase. The current business model is entirely dependent on the costly acquisition of new users.

03. STRATEGIC RECOMMENDATIONS

To reduce losses and move toward stable growth, leadership should take three quick actions:

1. Review logistics partners

Audit delivery partners in the 10 worst-performing states and renegotiate or replace those with poor performance.

2. Control heavy shipments

Limit or raise delivery fees for oversized products being shipped to remote regions.

3. Encourage a second purchase

Set up an automatic discount 7 days after a customer's first successful delivery to reduce the 96% churn rate.